# 4. The base case: affordability improves, retained protection falls

Authored scenario arithmetic, in USD. These are conditional inputs and outcomes, not measured business results.

## A / Cash available before purchase

**$160 minimum batch price**

Available cash (USD)

## B / Minimum reserve after decision

**$120 upper exposure + $20 cushion**

Reserve funds (USD)

Conditional recovery: 0 / 4 orders when cash stays at $100; 4 / 4 if the $160 purchase is feasible and the replacement delivers on time.

Adverse case: if the replacement fails before capture, recovery is 0 / 4. Releasing cash does not create stock or guarantee fulfillment.

The policy floor is authored for this demo. Unknown obligations require abstention. The retained reserve is not a calibrated measure of PayPal loss.

Research basis: completed Aftershock report, 19 October 2026. Not an official PayPal design.